

Calendar Line 2

Case Name: *Roger Darren Coit et al. v. NBK Investment, LLC et al.*

Case No.: 22CV398536

Plaintiffs Roger Darren Coit and Sarah Ramsay Coit (the “Coits”) filed this action against defendants NBK Investments, LLC; LU Construction and Design Group, Inc.; Mor Liberty; and ADU by Luxury Construction, Inc. (collectively, “Defendants”), based on Defendants’ alleged conduct regarding the construction and sale of real property in California. Defendants now demur to the second, third, fourth, fifth, sixth, seventh, and ninth causes of action in the Coits’ First Amended Complaint (“FAC”).

I. BACKGROUND

According to the FAC, NBK Investments, LLC (“NBK”) purchased 1985 Hicks Avenue, San Jose, California, 95125 (the “Property”) on July 19, 2018. (FAC, ¶ 21.) NBK thereafter hired LU Construction and Design Group, Inc. (“LU”) as the general contractor to build a new home on the Property. (*Id.* at ¶ 22.) On or about May 11, 2020, the Coits purchased the Property from NBK through a written California Residential Purchase Agreement (the “Contract”). (*Id.* at ¶ 23.) Mor Liberty (“Liberty”), who signed the Contract on behalf of NBK, allegedly hid his relationship with LU from the Coits. (*Id.* at ¶ 24.) The Coits allege that the Property contained various construction defects and deficiencies. (*Id.* at ¶ 26.) NBK also allegedly made various misrepresentations, including the Property’s exact square footage and that the Property would include all new appliances. (*Id.* at ¶ 27.) In addition, LU built the front yard fence and mechanical gate on land owned by the City of San Jose rather than within the correct property line. (*Id.* at ¶ 28.) The Coits notified NBK of these issues immediately, but NBK has failed and refused to address the issues. (*Id.* at ¶ 29.)

On May 20, 2022, the Coits filed their original complaint. The Coits filed a FAC on October 11, 2023, alleging causes of action for: (1) breach of written contract; (2) breach of the covenant of good faith and fair dealing; (3) negligence; (4) breach of implied warranty; (5) breach of express warranty; (6) intentional misrepresentation; (7) negligent misrepresentation; (8) strict liability; and (9) declaratory relief.

II. REQUEST FOR JUDICIAL NOTICE

Defendants have submitted a request for judicial notice with their demurrer. “Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory forms is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307, fn. 18, citing *People v. Shamrock Foods Co.* (2000) 24 Cal.4th 415, 422, fn. 2].) It is the court, and not the parties, that determines relevance. Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

Defendants request that the court take judicial notice of facts included in the FAC and in Exhibit A to the Request for Judicial Notice. (Defendants’ Request for Judicial Notice (“RJN”), pp. 1-2.)

The court grants judicial notice of the fact that Exhibit A (the Articles of Incorporation of defendant ADU by Luxury Construction, Inc. (“ADU”)) was filed with the California Secretary of State, but not as to the truth of any statements contained within. (See Evid. Code, § 452, subd. (c); *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113 [“the existence of a document may be judicially noticeable, [but] the truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable”].)

The court denies judicial notice of the facts listed in Defendants’ Request for Judicial Notice. Defendants ask that the court judicially notice the fact that ADU is a California corporation, and that ADU was incorporated on February 26, 2021, but Defendants present no basis for taking judicial notice of these facts under Evidence Code section 452. Evidence Code section 453 requires that a party “furnish[] the court with sufficient information to enable it to take judicial notice of the matter,” and the Defendants have failed to do so here.

Defendants also request that the court judicially notice the following facts included in the FAC: (1) “the real property which is the subject of the pending Action is located at 1985 Hicks Avenue, San Jose, California 95125”; (2) “the Property was sold by NBK Investment, LLC to Plaintiffs Roger Coit and Sarah Ramsay Coit”; and (3) “the Property was sold by NBK to Coit on May 21, 2020.” (RJN, p. 2.) The court denies judicial notice of these facts as unnecessary, given that the court must accept the allegations of the FAC as true on a demurrer. (See *Paul v. Patton* (2015) 235 Cal.App.4th 1088, 1091, fn. 1 [denying as unnecessary a request for judicial notice of the pleading under review on a demurrer].)

III. DEMURRER

A. General Legal Standards

As relevant to this case, “[t]he party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: . . . [t]he pleading does not state facts sufficient to constitute a cause of action.” (Code Civ. Proc., § 430.10, subd. (e).) A demurrer may be used by “[t]he party against whom a complaint [] has been filed” to object to the legal sufficiency of the pleading as a whole, or to any “cause of action” stated therein, on one or more of the grounds enumerated by statute. (Code Civ. Proc., §§ 430.10, 430.50, subd. (a).)

The court, in ruling on a demurrer, treats it “as admitting all properly pleaded material facts, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. [Citation.] It ‘admits the truth of all material factual allegations in the complaint . . . ; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.’ [Citation.]” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214, superseded by statute on other grounds as stated in *Californians for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227.) Evidentiary facts found in exhibits attached to a complaint may be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) In ruling on a demurrer, courts may also consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 751.)

B. Discussion

1. First Cause of Action: Breach of Contract

Defendants' memorandum of points and authorities includes a heading that states: "The Homeowner's Repair Act is the exclusive remedy with regard to the causes of action alleged in the first through the seventh causes of action." (Memorandum of Points and Authorities in Support of Defendants' Demurrer, p. 6:18-20 ("MPA").) Thus, Defendants appear to be demurring to the first cause of action on the basis of the Right to Repair Act (Civ. Code, §§ 896 et seq.). Yet the Defendants' notice of demurrer and demurrer does not say anything about challenging the first cause of action. (See Demurrer to Complaint.)

Code of Civil Procedure section 430.60 states: "A demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded." The California Rules of Court also require that the demurrer itself (as opposed to a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rule 3.1320(a) ["Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."].)

The court therefore **OVERRULES** Defendants' demurrer to the first cause of action to the extent that Defendants are in fact challenging this cause of action. Indeed, it appears that Defendants concede on reply that the Right to Repair Act does not preclude a cause of action for breach of contract. (See Reply, p. 2:5-7.)

2. The Right to Repair Act (Second, Third, Fourth, and Fifth Causes of Action)

According to Defendants, the Coits' causes of action for breach of the implied covenant of good faith and fair dealing, negligence, breach of an implied warranty, and breach of an express warranty all allege facts "relating to construction defects and similar damages relating to construction defects" and therefore fall within the purview of the Right to Repair Act. (MPA, p. 8:13-18.) The Defendants argue that the Act "supersedes and preempts the aforesaid causes of action." (*Ibid.*)

The Right to Repair Act sets forth various standards for residential construction projects and procedures for construction defect actions brought under the Act:

In any action seeking recovery of damages arising out of, or related to deficiencies in, the residential construction, design, specifications, surveying, planning, supervision, testing, or observation of construction, a builder, and to the extent set forth in Chapter 4 (commencing with Section 910), a general contractor, subcontractor, material supplier, individual product manufacturer, or design professional, shall, except as specifically set forth in this title, be liable for, and the claimant's claims or causes of action shall be limited to violation of, the following standards, except as specifically set forth in this title

(Civ. Code, § 896.) The construction standards set forth in section 896 pertain to water issues (subd. (a)), structural issues (subd. (b)), soil issues (subd. (c)), fire protection issues (subd. (d)), plumbing and sewer issues (subd. (e)), electrical system issues (subd. (f)), and other areas of

construction (subd. (g)). The Act also includes “a requirement that builders provide a one-year ‘fit and finish’ warranty ([Civ. Code,] § 900), and it established a new 10-year statute of limitations ([Civ. Code,] § 941).” (*Standard Pacific Corp. v. Superior Court* (2009) 176 Cal.App.4th 828, 832.)

The Act establishes pre-litigation procedures that a claimant must initiate prior to filing an action for violation of these standards. (Civ. Code, § 910.) “These procedures include a requirement that the claimant provide notice of claim ‘to the builder.’” (*Greystone Homes, Inc. v. Midtec, Inc.* (2008) 168 Cal.App.4th 1194, 1211 (*Greystone*), citing Civ. Code, § 910, subd. (a).) “The builder may elect to respond to the claim by inspecting the alleged violation ([Civ. Code,] § 916), offering to repair it ([Civ. Code,] § 917), and either repairing the violation, or arranging for a repair to be done ([Civ. Code,] §§ 918, 921).” (*Greystone, supra*, 168 Cal.App.4th at p. 1211.) “If the builder fails to respond to the claim, or otherwise fails to comply with the requirements of the Act’s prelitigation procedures, the claimant may bring an action for a violation of the Act’s standards without further resort to the prelitigation procedures. ([Civ. Code,] §§ 915, 920.)” (*Ibid.*)

Defendants’ sole argument in support of the demurrer to the second, third, fourth, and fifth causes of action is that the Right to Repair Act provides the exclusive remedy for Plaintiffs’ allegations. The court addresses this argument for each cause of action in turn.

a) Second Cause of Action: Breach of the Covenant of Good Faith and Fair Dealing

The court is not persuaded by Defendants’ Right to Repair Act argument with respect to the cause of action for breach of the implied covenant of good faith and fair dealing. (The Right to Repair Act exempts causes of action to enforce a contract. (Civ. Code, § 943, subd. (a).) If “a party’s action for breach of the covenant of good faith and fair dealing does not sound in tort, the action is just another garden variety breach of contract action for which only contract damages may be recovered. [Citations.]” (*Thompson Pacific Constr. v. City of Sunnyvale* (2007) 155 Cal.App.4th 525, 542.) In other words, the second cause of action is contractual in nature and is expressly exempted from the Act.

Defendants cite two different cases in reply, neither of which supports their argument. (Reply, p. 3:4-12, citing *VFLA Eventco, LLC v. William Morris Endeavor Entertainment, LLC* (2024) 100 Cal.App.5th 287, 312-313, 318; *Careau ds Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395.) The quoted language relied on by Defendants merely discusses the standard for breach of the implied covenant of good faith and fair dealing and does not discuss when such a cause of action sounds in contract or tort. (*See ibid.*) The Defendants otherwise conclusorily assert that “Plaintiffs’ second cause of action sounds in tort and not contract.” (*Id.* at p. 13.)

The case law cited by the Coits, on the other hand, discusses when breach of the covenant of good faith and fair dealing provides the basis for a tort action rather than a contract action. “Because the covenant [of good faith and fair dealing] is a contract term, in most cases compensation for its breach is limited to contract rather than tort remedies. [Citation.]” (*Kransco v. American Empire Surplus Lines Ins. Co.* (2000) 23 Cal.4th 390, 400.) “But [a]n exception to this general rule has developed in the context of insurance contracts where, for a

variety of policy reasons, courts have held that [an insurer's] breach of the implied covenant will provide the basis for an action in tort. [Citation.]" (*Ibid.*)

As the Coits point out, the matter here does not involve an insurance contract or any allegations of a bad faith denial of coverage. Accordingly, the Right to Repair Act does not preclude the second cause of action, and the court OVERRULES the demurrer to this cause of action.

b) Third Cause of Action: Negligence

The court is similarly not persuaded by Defendants' Right to Repair Act argument with respect to the cause of action for negligence. The Coits point out that the third cause of action does not completely fall within the scope of the Right to Repair Act because "at least one of LU's negligent acts – the property line encroachment – is not covered by Civil Code section 896." (Opposition, p. 7:15-22.) Civil Code section 897 clarifies that a defect is separately actionable if it is not listed in section 896 and does not involve a function or component of a structure: the "standards set forth in this chapter are intended to address every function or component of a structure. To the extent that a function or component of a structure is not addressed by these standards, it shall be actionable [under the Right to Repair Act] if it causes damage." (Civ. Code, § 897.)

Because of the Coits' "property line encroachment" allegation, at least part of the third cause of action falls outside the Right to Repair Act. It is well settled that a demurrer does not lie to only a portion of a cause of action. (See *Financial Corp. of America v. Wilburn* (1987) 189 Cal.App.3d 764, 778 ["[A] defendant cannot demur generally to part of a cause of action"]; see also *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682 ["A demurrer does not lie to a portion of a cause of action."]) Thus, because this allegation does not involve property damage, it is not precluded by the Right to Repair Act.

The court OVERRULES the Defendants' demurrer to the third cause of action.

c) Fourth Cause of Action: Breach of an Implied Warranty

The court finds that the Right to Repair Act does not preclude the Coits' fourth cause of action. (See Opposition, p. 9:2-7, citing *McMillin Albany LLC v. Superior Court*, (2018) 4 Cal. 5th 241, 259 (*McMillin*).) *McMillin* found that the Right to Repair Act "leaves the common law undisturbed in some areas, expressly preserving actions for breach of contract, fraud, and personal injury." (*McMillin, supra*, 4 Cal. 5th at p. 249.) *McMillin* does not explicitly hold that breach of implied warranty causes of action are exempted from the Right to Repair Act. The only relevant language in *McMillin* states:

In holding that claims seeking recovery for construction defect damages are subject to the Act's prelitigation procedures regardless of how they are pleaded, we have no occasion to address the extent to which a party might rely upon common law principles in pursuing liability under the Act. Nor does our holding embrace claims such as those for breach of contract, fraud, or personal injury that are expressly placed outside the reach of the Act's exclusivity. ([Civ. Code,] § 943, subd. (a).) That limit does not help the Van Tassels' position here, for while the complaint includes breach of contract and breach of warranty

claims, it also includes claims for strict liability and negligent failure to construct defect-free homes, to which no statutory exception applies.

(*McMillin*, *supra*, 4 Cal.5th at p. 259.)

Nevertheless, the court concludes that the breach of implied warranty cause of action sounds in contract in this case. “A warranty is a contractual term concerning some aspect of the sale.” (*Windham v. Superior Court* (2003) 109 Cal.App.4th 1162, 1168; see also *Wyatt v. Cadillac Motor Car Division* (1956) 145 Cal.App.2d 423, 426 [under California law, a claim for breach of express or implied warranties “necessarily sounds in contract.”], abrogated on other grounds by *Sabella v. Wisler* (1963) 59 Cal. 2d 21, 29; *L.B. Laboratories, Inc. v. Mitchell* (1952) 39 Cal. 2d 56, 62 [“For the designation of actions as contractual or delictual, it is to be noted that a contract is defined as an agreement to do or not to do a certain thing, and a tort as any wrong, not consisting in mere breach of contract, for which the law undertakes to give the injured party some appropriate remedy against the wrongdoer . . . [t]here is obviously some overlapping here, and where it is not clear to which class an action belongs, it will ordinarily be construed as in contract rather than in tort.”].)

The court therefore concludes that the breach of implied warranty cause of action falls outside the reach of the Act’s exclusivity, just as the breach of the implied covenant of good faith and fair dealing cause of action falls outside the Act’s exclusivity. The court therefore **OVERRULES** Defendants’ demurrer to the fourth cause of action.

d) Fifth Cause of Action: Breach of an Express Warranty

For similar reasons, the court concludes that the breach of express warranty cause of action sounds in contract and falls outside the Right to Repair Act’s exclusivity. The Right to Repair Act expressly exempts claims to enforce a contract. (Civ. Code § 943, subd. (a).) “Claims for breach of an express warranty are based on the parties’ agreement and sound in contract. [Citation.]” (*Revers v. Beneficial State Bank* (2022) 76 Cal.App.5th 596, 619.) Defendants’ reply brief appears to concede this point. (See Reply, p. 2:5-9 [“In the pending matter except for breach of contract, breach of express warranty, fraud, negligent misrepresentation and declaratory relief all other claims for construction defects are covered by the [Right to] Repair Act.”].)

The Court **OVERRULES** Defendants’ demurrer to the fifth cause of action.

3. Sixth Cause of Action: Intentional Misrepresentation

Defendants argue that the Right to Repair Act precludes the Coits’ intentional misrepresentation cause of action and that the Coits have failed to allege facts sufficient to state a cause of action for intentional misrepresentation. (MPA, pp. 8:19-11:18.)

The court disagrees that the Right to Repair Act precludes a separate cause of action for fraud. (See Civ. Code § 943, subd. (a) [the Act does not apply to “any action for fraud”]; see also *McMillin*, *supra*, 4 Cal.5th at p. 249 [“the statute here leaves the common law undisturbed in some areas, expressly preserving actions for breach of contract, fraud, and personal injury.”].)

But the court agrees with Defendants that the FAC fails to allege sufficient facts to support an intentional misrepresentation cause of action. “The well-known elements of a cause of action for fraud are: (1) a misrepresentation, which includes a concealment or nondisclosure; (2) knowledge of the falsity of the misrepresentation, i.e., scienter; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance; and (5) resulting damages. (*Cadlo, supra*, 125 Cal.App.4th at p. 519, citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173.) As a general rule, each element in a fraud cause of action must be pleaded with specificity. (*Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519 (*Cadlo*).) This particularity requirement “necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’ [Citation.]” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

The Coits allege that defendant Mor Liberty represented to the Coits that “the Property and all fixtures therein were new, free of defects and deficiencies, and constructed in a good and workmanlike manner and to all applicable standards of care.” (FAC, ¶ 69.) The Coits further allege that Liberty stated that “he would ensure that the Coits were ‘100% satisfied.’” (*Ibid.*) According to the Coits, “the above representations were not true,” “Liberty intended that the Coits rely upon the above representations,” “the Coits reasonably relied upon the above representations, and the Coits’ “reasonable reliance upon the above representations was a substantial factor in causing the Coits to suffer.” (*Id.*, ¶¶ 69-74.)

These allegations do not meet the heightened particularity standard required to plead fraud. The Coits have not pleaded the “how, when, where, and by what means” any misrepresentations occurred, instead making blanket assertions that either NBK or Liberty misrepresented material facts. In addition, the court agrees with Defendants that the misrepresentation allegations consist largely of conclusory allegations “that a contractual promise was not performed,” which are insufficient on their own. (Reply, p. 5:7-12 [citing *Yield Dynamics, Inc. v. TEA Systems Corp.* (2007) 154 Cal.App.4th 547].) There are no details regarding actual and justifiable reliance by the Coits, or regarding damages resulting from such reliance.

The court SUSTAINS Defendants’ demurrer to the sixth cause of action with 20 days’ leave to amend.

4. Seventh Cause of Action: Negligent Misrepresentation

For the same reasons, the court finds that the FAC fails to allege sufficient facts to support a negligent misrepresentation cause of action. “The same elements comprise a cause of action for negligent misrepresentation [as for intentional misrepresentation], except there is no requirement of intent to induce reliance. [Citation.]” (*Cadlo, supra*, 125 Cal.App.4th at p. 519.) Each element in a cause of action for fraud or negligent misrepresentation must be factually and specifically alleged. (*Ibid.*) As discussed above, the FAC does not meet the heightened particularity standard required to plead fraud. (FAC, ¶¶ 68-81.)

The court SUSTAINS Defendants’ demurrer to the seventh cause of action with 20 days’ leave to amend.

5. Ninth Cause of Action: Declaratory Relief

Defendants demur to the Coits' ninth cause of action for declaratory relief as "superfluous and declarative." (MPA, p. 12:21-23.) According to Defendants, a party should not use a cause of action for declaratory relief for the purpose of anticipating and determining an issue that can be determined in the main action, as the object of the statute is to afford a new form of relief where needed. (*Id.* at p. 12:25-28.) Furthermore, Defendants argue that no operative allegations in the FAC identify the parties subject to the cause of action, their capacities, or jurisdiction, as there are no allegations or incorporation by reference from prior paragraphs. (*Id.* at p. 12:10-13.)

The Coits argue that the failure to incorporate by reference the prior allegations of the FAC is immaterial to whether the ninth cause of action states a claim. The court agrees with the Coits that "[t]he mantra 'incorporated by reference' is not sacrosanct, and under a rule of liberal interpretation cannot defeat an otherwise adequate pleading." (Opposition, p. 13:12-16, citing *Ludgate Ins. V. Lockheed Martin Corp.*, (2000) 82 Cal.App.4th 592, 609 (*Lockheed*).) The complaint is given "a reasonable interpretation by reading it as a whole and all of its parts in their context. [Citations.]" (*Lockheed, supra*, 82 Cal.App.4th at p. 609.) The FAC provides sufficient facts such that the Coits' ninth cause of action identifies the parties and their capacities. (See FAC, ¶¶ 2-8 [describing NBK, LU, and ADU as California corporations, providing their principal places of business and locations where they conduct business, and naming Liberty's address].)

Otherwise, claims for declaratory relief are governed by Code of Civil Procedure section 1060, which provides, in relevant part:

Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another . . . may, in cases of actual controversy relating to legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a declaration of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time.

(Code Civ. Proc., § 1060.)

"Under section 1061 of the Code of Civil Procedure the court may refuse to exercise the power to grant declaratory relief where such relief is not necessary or proper at the time under all of the circumstances." (*California Insurance Guaranty Ass'n v. Superior Court* (1991) 231 Cal.App.3d 1617, 1624.) "The refusal to exercise the power is within the court's legal discretion and will not be disturbed on appeal except for abuse of discretion. [Citations.]" (*Ibid.*) "The declaratory relief statute should not be used for the purpose of anticipating and determining an issue which can be determined in the main action." (*General of America Insurance Co. v. Lilly* (1968) 258 Cal.App.2d 465, 470.) "The object of the statute is to afford a new form of relief where needed and not to furnish a litigant with a second cause of action for the determination of identical issues." (*Ibid.*)

Here, the declaratory relief cause of action states, in its entirety:

88. An actual controversy exists with respect to justiciable questions relating to Defendants' unity of interest and whether recognizing the separate existence of each of them would promote injustice.

89. An actual controversy exists with respect to whether Defendants, and each of them, were acting in concert with, as a principal, agent, employee, co-conspirator, alter ego, entity designed to shield one another from corporate liabilities, common enterprise with, and/or a member of a joint venture of each of the other Defendants so that they are jointly and severally liable for the claims set forth herein.

90. The COITS desire a declaratory judgment regarding same.

This does not sufficiently allege a standalone cause of action for *declaratory relief* as to alter ego liability. It appears that the Coits have brought their declaratory relief cause of action in anticipation of an issue that will be determined as part of the "main action." Declaratory relief is properly refused with respect to issues that can and are likely to be determined in the underlying action. (See, e.g., *General of America Ins. Co. v. Lilly*, *supra*, 258 Cal.App.2d at pp. 470-471; *California Insurance Guarantee Ass'n v. Superior Court* (1991) 231 Cal.App.3d 1617, 1623-1624 ["Generally, an action in declaratory relief will not lie to determine an issue which can be determined in the underlying tort action . . . [t]he declaratory relief statute should not be used for the purpose of anticipating and determining an issue which can be determined in the main action; [rather,] [t]he object of the statute is to afford a new form of relief where needed and not to furnish a litigant with a second cause of action for the determination of identical issues."].)

The Coits do not respond to this point in the opening brief, instead contending conclusorily that they have successfully pleaded alter ego liability, that Defendants have failed to support their position through their Request for Judicial Notice, and that equitable principles support their allegations of alter ego liability. (See Opposition, pp. 14:1-15:14.) While the court agrees that the FAC sufficiently pleads alter ego liability, this does not address the point that for the Coits to succeed on several of their causes of action against certain defendants, it appears they will necessarily need to substantiate their alter ego theory as part of the "main action" in this matter.

The court SUSTAINS Defendants' demurrer to the ninth cause of action with 20 days' leave to amend. A "[p]laintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading. [Citations.]" (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) The court cannot envision how the Coits can amend their pleading to assert this cause of action without running afoul of the foregoing principles, but because this is the first pleading challenge, the court nonetheless grants leave to amend.

6. Alter Ego Liability

Defendants demur to the Coits' allegations of alter ego liability as to ADU. (MPA, 13:25-14:14.) Defendants offer no legal support for their argument that alter ego liability cannot apply to an entity that is formed after a transaction at issue has occurred. (MPA,

p. 14:12-14.) In reply, Defendants repeat this same argument, again with no legal support. (Reply, p. 6:16-20.)

“The alter ego doctrine arises when a plaintiff comes into court claiming that an opposing party is using the corporate form unjustly and in derogation of the plaintiff’s interests.” (*Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300.) To support an alter ego theory of liability, a plaintiff must plead: (1) such a unity of interest and ownership that the separate personalities of the corporation and the individuals do not exist, and (2) that an inequity will result if the corporate entity is treated as the sole actor. (See *Stodd v. Goldberger* (1977) 73 Cal.App.3d 827, 832.) In applying the alter ego doctrine, courts consider whether an individual or organization dominated and controlled the entity, the controlling party used the entity’s assets as his or her own, the entity served as a mere shell and conduit for the controlling party, the entity was undercapitalized, and the entity failed to abide by the formalities of corporate existence. (See *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235.)

The court finds that the Coits have adequately pled alter ego liability. The Coits allege that ADU and the other named defendants have a unity of interest “such that any individuality and separateness between them has existed.” (FAC, ¶ 9.) “NBK, LU, and Lux are or at all relevant times were inadequately capitalized.” (*Id.* at ¶ 10.) “NBK, LU, and Lux each failed and/or continue to fail to abide by the formalities of corporate existence.” (*Id.* at ¶ 11.) “Liberty, NBK, LU, and Lux Construction have commingled assets to conduct their respective operations.” (*Id.* at ¶ 12.) Liberty served as LU’s “sole director,” “chief executive officer,” and “chief financial officer.” (*Id.* at ¶¶ 13, 14.) Liberty “had unilateral authority to make material decisions for NBK and LU.” (*Id.* at ¶ 15.) Liberty “holds or has held an equity interest in each of NBK, LU, and Lux Construction.” (*Id.* at ¶ 16.) ADU “actively advertises that it performed construction work that LU performed, including building the Property.” (*Id.* at ¶ 17.) “Recognizing the separate existence of Liberty, NBK, LU, and Lux Construction would promote injustice.” (*Id.* at ¶ 19.)

Furthermore, “a demurrer does not lie to a part of a cause of action.” (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 163.) “A demurrer lies only as to an entire complaint or a count [citation].” (*Fuller v. First Franklin Financial Corp.* (2013) 216 Cal.App.4th 955, 968, fn. 8.) “Alter ego” liability is not a cause of action, but rather a theory that allows a plaintiff to hold someone other than the named corporate defendant liable for the acts of that corporate defendant. (See *Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal.App.3d 1351, 1358-1359 [“A claim against a defendant, based on the alter ego theory, is not itself a claim for substantive relief, e.g., breach of contract or to set aside a fraudulent conveyance, but rather, procedural, i.e., to disregard the corporate entity as a distinct defendant and to hold the alter ego individuals liable on the obligations of the corporation where the corporate form is being used by the individuals to escape personal liability, sanction a fraud, or promote injustice.”].)

The court **OVERRULES** Defendants’ demurrer as to alter ego liability.

IV. CONCLUSION

The court OVERRULES Defendants' demurrer to the first, second, third, fourth, and fifth causes of action, as well as the alter ego allegations. The court SUSTAINS Defendants' demurrer to the sixth, seventh, and ninth causes of action with 20 days' leave to amend.

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Calendar Line 3

Case Name: *Ankur Rustagi et al. v. Matthew David Wheeler et al.*

Case No.: 23CV426650

I. BACKGROUND

This is a dispute arising from the purchase of residential property in San Jose. Plaintiffs Ankur Rustagi and Dora Gyulai (“Plaintiffs”) purchased a single-family residence located at 779 Calero Avenue, San Jose, CA 95123 from defendants Matthew and Megan Wheeler (the “Sellers”) in June of 2021. Plaintiffs allege that the Sellers failed to disclose structural problems with the property.

Plaintiffs filed their original and still-operative complaint on November 30, 2023. The complaint states seven causes of action: (1) Breach of Written Contract (against the Sellers and Does); (2) Intentional Misrepresentation (against the Sellers and Does); (3) Fraudulent Concealment (against the Sellers and Does); (4) Statutory Failure to Disclose (Civil Code section 1102—against the Sellers and Does); (5) Negligent Misrepresentation (against the Sellers and Does); (6) Negligence (against the Sellers and Does); and (7) Negligence (against defendant Avalon Structural, Inc. and Does). There are no exhibits attached to the complaint.

Currently before the court is a demurrer to the complaint by defendant Avalon Structural, Inc. (“Avalon”). Avalon was the general contractor for certain “structural repairs” to the property in 2016. (Complaint, ¶ 31.)

II. DEMURRER TO THE COMPLAINT

A. General Standards

The court, in ruling on a demurrer, treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) A plaintiff is not ordinarily required to allege “‘each evidentiary fact that might eventually form part of the plaintiff’s proof’” (*Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1341 [citation omitted].)

“Where a pleading includes a general allegation, such as an allegation of an ultimate fact, as well as specific allegations that add details or explanatory facts, it is possible that a conflict or inconsistency will exist between the more general allegation and the specific allegations.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1235 (*Perez*).) “To handle these contradictions, California courts have adopted the principle that specific allegations in a complaint control over an inconsistent general allegation.” (*Id.* at pp. 1235–1236.) “Under this principle, it is possible that specific allegations will render a complaint defective when the general allegations, standing alone, might have been sufficient.” (*Id.* at p. 1236.) “It is well established that in the context of a demurrer, specific allegations control over more general ones.” (*Chen v. PayPal, Inc.* (2021) 61 Cal.App.5th 559, 571-572 (*Chen*) [citing *Perez*, among others].)